The principal components of EOG's rollforward of valuation allowances for deferred tax assets were as follows (in thousands):

	2016	2015	2014
Beginning Balance	$ 506,127	$ 463,018	$ 223,599
Increase [(1)]	37,221	146,602	392,729
Decrease [(2)]	(12,667)	(4,315)	(1,424)
Other [(3)]	(147,460)	(99,178)	(151,886)
Ending Balance	**$ 383,221**	**$ 506,127**	**$ 463,018**

(1) Increase in valuation allowance related to the generation of tax net operating losses and other deferred tax assets.
(2) Decrease in valuation allowance associated with adjustments to certain deferred tax assets and their related allowance.
(3) Represents dispositions/revisions/foreign exchange rate variances and the effect of statutory income tax rate changes.

The balance of unrecognized tax benefits at December 31, 2016, was $36 million, of which $2 million may potentially have an earnings impact. EOG records interest and penalties related to unrecognized tax benefits to its income tax provision. Currently, $2 million of interest has been recognized in the Consolidated Statements of Income and Comprehensive Income. EOG does not anticipate that the amount of the unrecognized tax benefits will significantly change during the next twelve months. EOG and its subsidiaries file income tax returns and are subject to tax audits in the United States and various state, local and foreign jurisdictions. EOG's earliest open tax years in its principal jurisdictions are as follows: United States federal (2011), Canada (2012), United Kingdom (2015), Trinidad (2010) and China (2008).

EOG's foreign subsidiaries' undistributed earnings of approximately $2 billion at December 31, 2016, are no longer considered to be permanently reinvested outside the United States and, accordingly, EOG has cumulatively recorded $280 million of United States federal, foreign and state deferred income taxes. EOG changed its permanent reinvestment assertion in 2014.

In 2016, EOG's alternative minimum tax (AMT) credits were reduced by $21 million mostly as a result of carry-back claims and certain elections. Remaining AMT credits of $758 million, resulting from AMT paid in prior years, will be carried forward indefinitely until they are used to offset regular income taxes in future periods. The ability of EOG to utilize these AMT credit carryforwards to reduce federal income taxes may become subject to various limitations under the Internal Revenue Code. Such limitations may arise if certain ownership changes (as defined for income tax purposes) were to occur.

As of December 31, 2016, EOG had state income tax net operating losses (NOLs) being carried forward of approximately $1.6 billion, which, if unused, expire between 2017 and 2035. During 2016, EOG's United Kingdom subsidiary incurred a tax NOL of approximately $38 million which, along with prior years' NOLs of $740 million, will be carried forward indefinitely. As described above, these NOLs have been evaluated for the likelihood of future utilization, and valuation allowances have been established for the portion of these deferred tax assets that do not meet the "more likely than not" threshold.

7. Employee Benefit Plans

Stock-Based Compensation

During 2016, EOG maintained various stock-based compensation plans as discussed below. EOG recognizes compensation expense on grants of stock options, SARs, restricted stock and restricted stock units, performance units and performance stock, and grants made under the EOG Resources, Inc. Employee Stock Purchase Plan (ESPP). Stock-based compensation expense is calculated based upon the grant date estimated fair value of the awards, net of forfeitures, based upon EOG's historical employee turnover rate. Compensation expense is amortized over the shorter of the vesting period or the period from date of grant until the date the employee becomes eligible to retire without company approval.